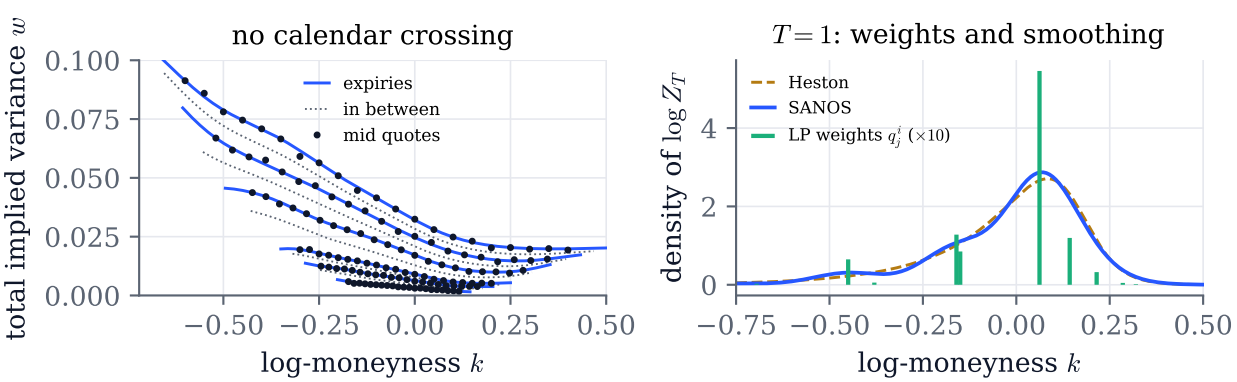
no calendar crossing
total implied variance w
0.100
0.075
0.050
0.025
0.000
expiries
in between
mid quotes
−0.50
−0.25
0.00
0.25
0.50
log-moneyness k
$T = 1$: weights and smoothing
density of $\log Z_T$
Heston
SANOS
LP weights q_j^i (×10)
4
2
0
−0.75
−0.50
−0.25
0.00
0.25
0.50
log-moneyness k